FALLEN EMPIRES

Breathometer: the Deal Sheet

Case: The Shark Tank startup whose smartphone breathalyzer ended in an FTC settlement.

Facts only, from the FTC and press coverage. Not investment advice.

The numbers

| Item | Fact | Source |

|---|---|---|

| Founder | Charles Michael Yim, company founded 2012 | Wikipedia (Breathometer) |

| Indiegogo (2013) | Goal $25,000; raised $138,437 | Fortune, Jan 2017 |

| Shark Tank ask (Season 5, 2013) | $250,000 for 10% = $2.5M valuation | Wikipedia; press |

| Reported deal | $1,000,000 for 30% from all five sharks = about $3.33M valuation | Wikipedia; press |

| Products | Original $49 (headphone jack), Breeze $99 (Bluetooth) | TechCrunch, Jan 2017 |

| Sales of both devices | About $5.1M, per the FTC complaint | TechCrunch; Wikipedia |

| FTC settlement | January 23, 2017: customer notice, full refunds, no unproven accuracy claims | FTC business blog; TechCrunch |

What the FTC said

- Marketing claimed "police grade precision" and "government-lab grade testing", with readings from 0 to .25 BAC.
- Many accuracy tests reportedly covered only up to .02% BAC. The legal driving limit in most US states is .08%.

- Late 2014: the company learned Breeze readings showed a "downward drift" (users had a higher BAC than displayed).
- Early 2015: humidity and temperature affected results; sensors deteriorated over time.
- Q3 2015: retailers told the Breeze would stop selling, with no reason given. Feb 2016: still sold at national retailers.
- May 2016: retailer letters. June 2016: owner emails. October 6, 2016: breathalyzer feature disabled in the app.

3 things the case shows

1. Test a claim at the level where the decision is made (.08, not .02).
2. Tell customers the moment you learn of a safety problem.
3. Keep written proof for every advertising claim.

2 mistakes it shows

1. Advertising "police grade" accuracy without evidence to match.
2. Letting a famous deal stand in for proof that a product works.

Glossary

- **Valuation:** what a whole company is worth: amount divided by share ($250,000 / 10% = $2.5M).
- **BAC:** blood alcohol content; the share of alcohol in the blood.
- **Substantiation:** the proof you must hold before you make an advertising claim.

Sources

- FTC business blog, "Breathometer" (Jan 23, 2017); FTC press release, Jan 2017
- TechCrunch, "Breathometer ordered to refund purchases...", Jan 23, 2017
- Fortune, "FTC: Breathalyzer Breathometer false claims", Jan 23, 2017
- Wikipedia, "Breathometer"

- Mark Cuban's "worst execution" remark: as reported by CNBC and others (2019, 2022). An opinion, not a legal finding.

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